INSURANCE AND PENSIONS COMMISSION

FUNERAL ASSURANCE REPORT

FOR THE NINE MONTHS-ENDED 30 SEPTEMBER 2020

+263 (242) 443358/59/61 | +263 (242) 443322
+263 772 154 281-4 | +263 (242) 444033

HEAD OFFICE- 160 Rhodesville Ave, Greendale, Harare
COMPLAINTS HANDLING OFFICE- Kingstons House, Cnr Leopold Takawira/Kwame Nkrumah Avenue, Harare
COMPLAINTS HANDLING OFFICE- Office Number 18, Bulawayo Centre Cnr Joshua Nkomo Street & 9th Ave, Bulawayo

www.ipec.co.zw

Disclaimer

This report, including any enclosures and attachments has been prepared by the Insurance and Pensions Commission (IPEC), solely for informative purposes to the insurance sector industry stakeholders. The report may not be reproduced, redistributed, communicated to a third party, or relied upon by any other person for any other purpose without the Commission's prior written consent. The Commission does not accept any liability, if this report is used for any other purposes other than the above-mentioned intended purpose.
This report relates to funeral assurance business written by funeral assurers only and does not relate to funeral assurance business written by life assurers. The funeral assurance business generated by life assurers is reported in the life assurance report.
All the figures in this report are expressed in Zimbabwe dollars (ZWL$). Figures relating to periods before February 2019 which were originally reported in United States dollars (US$) have been converted into ZWL$ at parity in accordance with the provisions of S.I 133 of 2019.
Growth referred to in this report is nominal growth unless stated otherwise.
***The total figures reported here exclude Doves Life Assurance and will differ from those published in prior reports where comparisons are applicable.

* Income statement figures were adjusted using year on year inflation of 659.4% reported for the month of September 2020. Source:
https://rbz.co.zw/index.php/research/markets/inflation

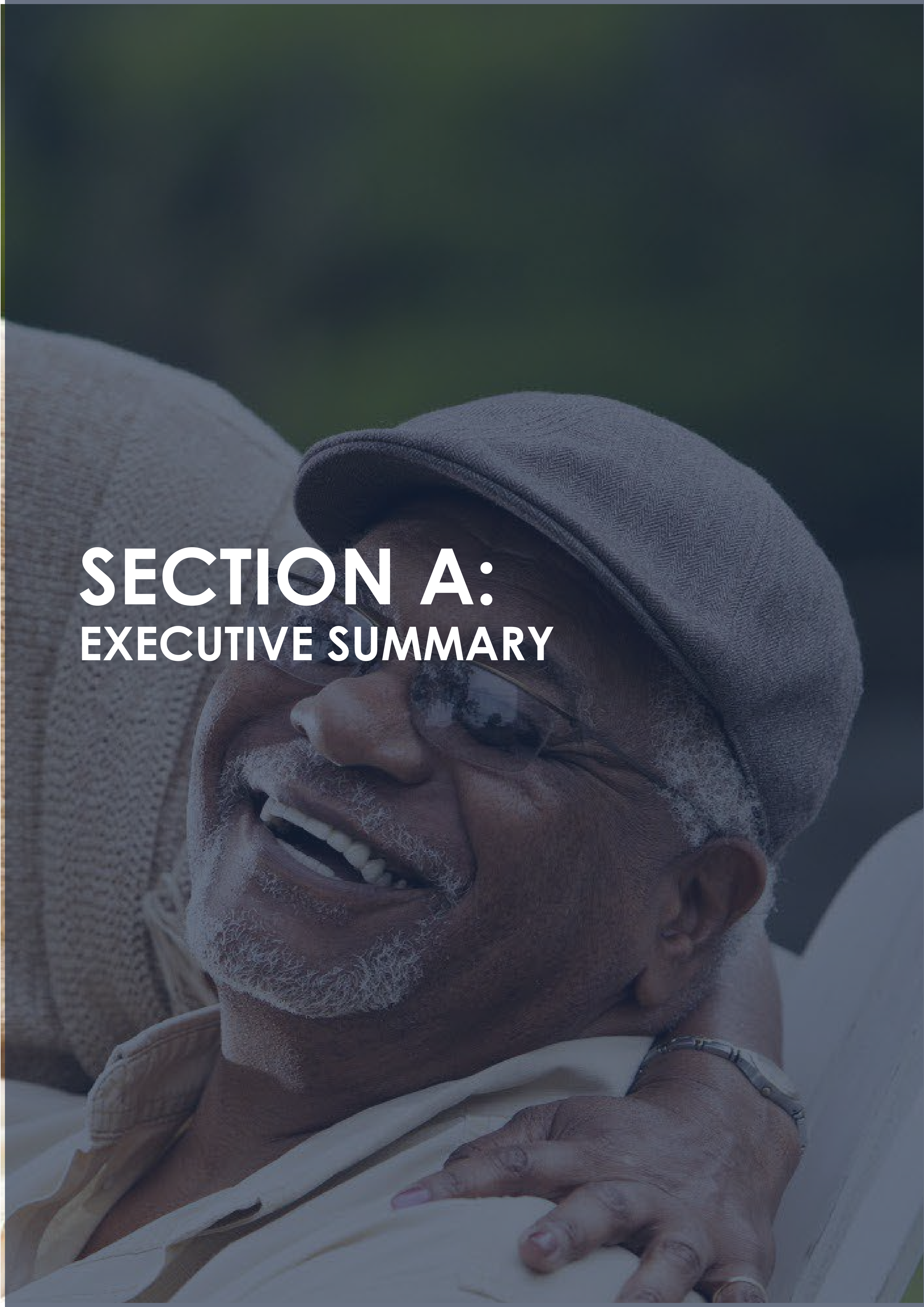
**Balance sheet figures were not adjusted due to the unavailability of quarterly inflation figures. Therefore, balance sheet figures are compared on a nominal basis.

Contents

Contents

Abbreviations

GPW	Gross Premium Written
IPEC	Insurance and Pensions Commission
MCR	Minimum Capital Requirement
PA	Prescribed Assets/Securities as defined by the Insurance Act [Chapter 24:07]
TCF	Treating Customers Fairly
ZICARP	Zimbabwe Integrated Capital and Risk Programme



SECTION A:
EXECUTIVE SUMMARY

1.1. For the nine months under review, the number of registered and operating funeral assurers writing strictly funeral assurance business stood at eight (8).

1.2. Inflation-adjusted Gross Premium Written (GPW) decreased by 15.02% from ZWL$21.13 million for the nine months-ended 30 September 2019 to ZWL$17.96 million as at 30 September 2020.

1.3. The decrease in the GPW was partly attributable to inability of premiums to keep up with exchange rate-driven inflation.

1.4. Three (3) out of the eight (8) funeral assurers reported capital positions that were compliant with the regulatory minimum capital requirement of ZWL$62.50 million as prescribed in Statutory Instrument 59 of 2020, an improvement of one player that was not compliant as at 30 June 2020.

1.5. Funeral assurers' total assets increased by 27.10% from ZWL$605.62 million as at 30 June 2020 to ZWL$769.75 million as at 30 September 2020.

1.6. The positive movement in assets was mainly attributable to an increase in accounts receivables, where some funeral assurers are engaged in cross border activities with their associate or subsidiary companies. In addition, local inter-company investments also contributed to the overall net positive movement in the asset base.

1.7. As at 30 September 2020, all funeral assurers were not complaint with the minimum prescribed asset ratio of 10.00% as prescribed by Statutory Instrument 206 of 2019.

1.8. In nominal terms, investments in prescribed assets increased by 39.67% from ZWL$150, 940 as at 30 June 2020 to ZWL$210, 820 as at 30 September 2020.

1.9. None of the funeral assurers had any form of reassurance arrangement(s) in place for the nine months-ended 30 September 2020.

1.10. Total technical liabilities for the funeral assurance sector decreased by 3.46% from ZWL$225.07 million as at 30 June 2020 to ZWL 217.28 million as at 30 September 2020.

1.11. Regrettably, the Commission observed that funeral assurers understated their actuarial liabilities during the period under review.

1.12. This was derived from the fact that certain funeral assurers stated that they reported actuarial liabilities in their retained earnings. The Commission continues to urge funeral assurance players to ensure that they have adequate reserves to pay claims as they arise.

1.13. Profit before tax increased by 31.27% in real terms from ZWL$1.32 million reported for the nine months-ended 30 September 2019 to ZWL$1.74 million for the nine months-ended 30 September 2020.

1.14. The increase in real profit before interest and tax was partly attributable to the decrease in claims incurred in real terms and also a decrease in operating and administration expenses.

SECTION B:
ABOUT THE COMMISSION

2. Introduction

2.1. The Insurance and Pensions Commission (IPEC) is a statutory body mandated with regulating, supervising and developing the insurance and pensions industry for the protection of policyholders and pension scheme members in Zimbabwe. This report outlines the funeral assurance sector developments and IPEC`s various activities in the funeral assurance sector consistent with its statutory mandate during the nine months-ended 30 September 2020.

3. Terms of Reference

3.1. The activities of the Commission are guided by the following Acts and their Regulations:

3.1.1. Insurance and pensions Commission Act [Chapter 24:21];

3.1.2. Pension and Provident Funds Act [Chapter 24:09];

3.1.3. Insurance Act [Chapter 24:07];

3.1.4. Money Laundering and Proceeds of Crime Act [Chapter 09:24];

3.1.5. Finance Act [Chapter 23:04];

3.1.6. Public Entities and Corporate Governance Act [Chapter 10:31];

3.1.7. Public Finance Management Act [Chapter 22:19]; and

3.1.8. Public Procurement and Disposal of Public Assets Act [Chapter 22:23]

SECTION C:
ECONOMIC OUTLOOK

4. Economic Developments

Global and Regional Economic Outlook

4.1 The total number of confirmed Covid-19 cases globally exceeded 33 million, with over a million deaths as at 30 September 2020, compared to over 10.2 million cases and 503 862 deaths recorded as at 30 June 2020. Most notable increases in Covid-19 transmissions were recorded towards the end of the quarter, in the United States of America, Latin America, India and South Africa.

4.2 Notwithstanding the general improvement in global economic activity, the road to recovery is projected to be long, winding and uncertain following a renewed surge in Covid-19 infections. As a result, re-openings have been stalled and targeted lockdowns reinstated in some countries such as the United Kingdom, France and Germany.

4.3 Revised IMF projections reveal a lesser contraction in global economic output of 4.4% in 2020 from an earlier forecast of 4.90% in June 2020, driven by improved GDP growth forecast for advanced economies. The advanced economies' GDP is expected to decline by 5.8% in 2020, an improvement from earlier forecast of 8.0%. This is on the back of expected better GDP outturns in the European Union and the United States that adopted aggressive policy measures, which contributed to improved financial conditions.

4.4 GDP growth for emerging markets and developing economies (EMDEs) is expected to contract by 3.3% in 2020. However, significant growth of 1.9% in 2020 and 8.2% in 2021 is expected in China, as the economy reopened early in April, and normalised faster than expected owing to strong policies and resilient exports. Global outlook projections are as shown in Table 1.

Table 1: World Economic Outlook Projections (Percentage Change)

	2019	2020*	2021*
World Output	2.8	-4.4	5.2
Advanced Economies	1.7	-5.8	3.9
USA	2.2	-4.3	3.1
Euro Area	1.3	-8.3	5.2
Emerging Markets and Developing countries	3.7	-3.3	6
China	6.7	1.9	8.2
Sub-Saharan Africa	3.2	-3	3.1
Nigeria	2.2	-4.3	1.7
South Africa	0.2	-8.0	3.0

*Source: October 2020 World Economic Outlook, IMF. * Revised projections*

4.5 Sub-Saharan Africa GDP growth expectations were broadly unchanged from June 2020, with a contraction of 3% in 2020. A rebound of 3.1% is projected in 2021. The largest growth impact in the region is expected to arise from tourism dependent and commodity-dependant economies including oil exporting countries.

Domestic Economic Outlook

4.6 The Government projects the domestic economy to contract by 4.5% in 2020 owing to vulnerabilities suffered during the pre-Covid19 i.e. climatic shocks and macroeconomic instability. The economy is expected to rebound by 7.4% in 2021, underpinned by stabilisation gains of the Transitional Stabilisation Programme, successor strategies and programmes under the National Development Strategy One as well as improved climate and investment conditions

.

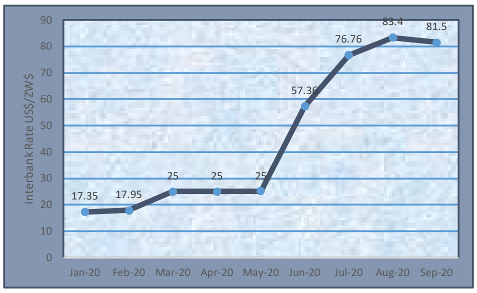
4.7 IMF projections on Zimbabwe, however, show a much deeper contraction of 10.4% in 2020, and a more conservative growth of 4.2% in 2021.

Exchange Rate Developments

4.8 The introduction of the foreign exchange auction system on 23 June 2020 has resulted in a more stable and predictable foreign exchange market. According to Reserve Bank of Zimbabwe (RBZ), availability of foreign currency has improved, with a total of US$291 million having been allotted by 2 October 2020.

4.9 The US$/ZWL$ interbank rate depreciated to ZWL$83.4 in August 2020 from ZWL$57.36 in June 2020, before closing the third quarter at ZWL$81.50 as depicted in Figure 1.

Figure 1: Interbank Exchange Rate January to September 2020 (US$/ZWL$)



Source: Reserve Bank of Zimbabwe

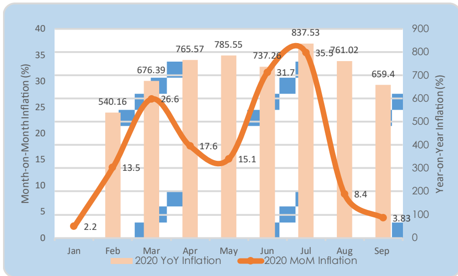
Inflation Developments

4.10 The foreign exchange auction system stemmed the indexing of prices to parallel market rates by market players that was fuelling inflation. This was evidenced by a sharp decline in month-on-month inflation rate from 35.5% in July 2020 to 8.4% in August 2020, and a further decline in September to close the third quarter at 3.83%.

4.11 Major declines were recorded in food and non-alcoholic beverages inflation rate, which decreased by 31.69% in August to reach 6.30% from the July rate of 37.99%. Non-food inflation declined to 23.73% from 33.76% in July 2020.

4.12 The annual inflation rate also declined from 837.37% in July 2020 to 659.4% in September 2020 as shown in Figure 2. The reduction in inflation rate shows that prices are increasing at a decreasing rate.

Figure 2: Month on Month Inflation 2020 and Year on Year Inflation 2020 (percent)



Source: ZIMSTATS

4.13 ZIMSTAT introduced a blended CPI inflation in June 2020, which combines the average changes in price of goods and services sold in the two main currencies in circulation, namely the ZWL$ and the US$. The annual blended CPI inflation was 457.19% in June 2020 and increased to 485.3% in August before declining to close the quarter at 376.3% in September 2020.

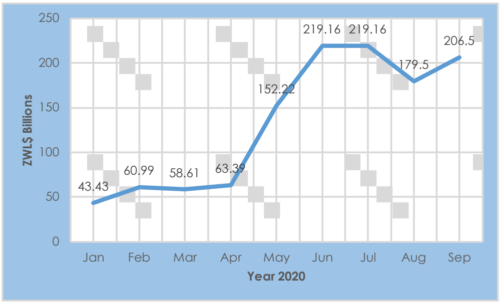
4.14 The monthly blended CPI inflation rate declined from 29.44% in June 2020 to 16.7% in July, and further decreased to 1.4% in August 2020. In September 2020, the blended inflation was -0.5%.

Zimbabwe Stock Exchange Developments

4.15 Trading on the Zimbabwe Stock Exchange resumed on 3 August 2020, following the suspension of trading activities on 26 June 2020, to pave way for investigations into the suspected trading of foreign exchange on the parallel market linked to movements in the Old Mutual Implied Exchange Rate. Old Mutual and PPC remain suspended from trading on ZSE whereas, Seed Co International is now trading on the Victoria Falls Stock Exchange.

4.16 As a result of the suspension of trade on the ZSE, market capitalisation level was affected as it declined from ZWL$219.16 billion recorded on 26 June 2020 before the suspension of trade to ZWL$179.50 billion by 28 August 2020. Though market capitalisation improved to ZWL$206.50 billion as at 30 September 2020, it still fell short of the June level as depicted in Figure 3.

Figure 3: Daily Market Capitalisation in ZWL$ Billions



Source: Zimbabwe Stock Exchange

Victoria Falls Stock Exchange (VFEX)

4.17 The launch of the Victoria Falls Stock Exchange on 23 October 2020, was a welcome development for the insurance and pensions industry as it provides opportunities to diversify investment portfolios and also hedge against exchange rate risk.

4.18 Trading, depository and settlement services commenced on the 26th of October 2020. According to section 6 of Statutory Instrument196 of 2020, the clearing and settlement of transactions on the VFEX shall be done by the VFEX, locally or offshore in accordance with clearing and settlement rules approved by the Securities and Exchange Commission of Zimbabwe, in consultation with the RBZ.

4.19 All fungibility restrictions on SeedCo International Limited shares were lifted effective 6 November 2020. However, the delay in listing and removing fungibility of Old Mutual and PPC shares is of concern to the industry as it affects the determination of asset values of pension fund members and policyholders currently tied in the two counters.

Money Market Developments

4.20 The interest rate on savings deposits remained unchanged for the quarter under review, ranging from a minimum of 2.35% and maximum of 5.19%.

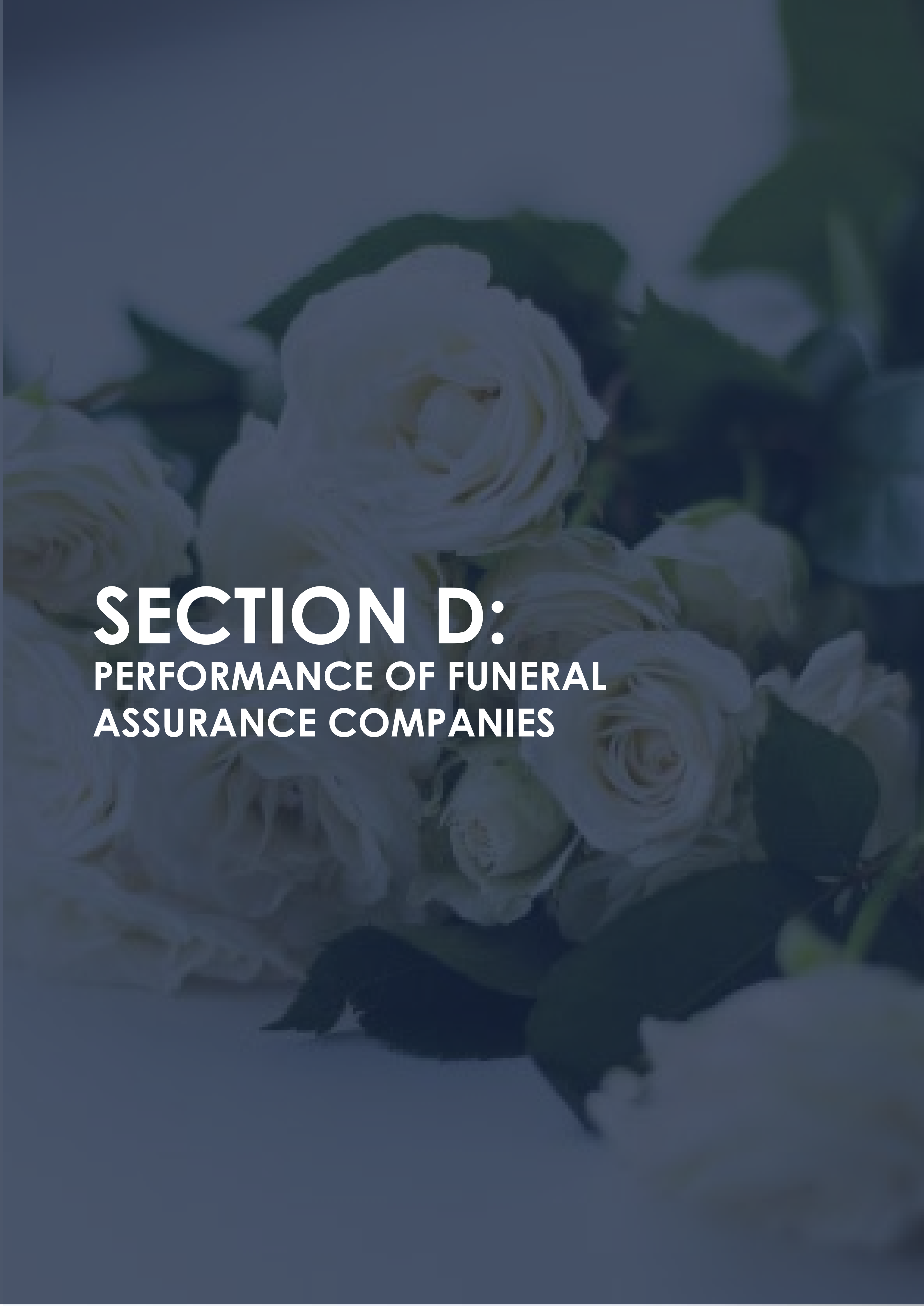
4.21 One-month deposit rates improved from a minimum of 3.88% end of July 2020 to 4.17% as at 25 September 2020. Maximum rates for the same period increased from 6.99% to 7.73%.

4.22 The three-month deposit rates also improved from a minimum of 4.36% to 4.50% and the maximum rates from 7.17% to 8.37%. However, real rates remain negative given the high level of annual inflation.

Table 2: Average Rate per Annum

Date	Savings Deposit (%)	One-Month Deposit Rates (%)	Three-Month Deposit Rates (%)
30-Jun-20	2.35-5.19	3.26-6.56	4.21-7.22
31-Jul-20	2.35-5.19	3.88-6.99	4.36-7.17
28-Aug-20	2.35-5.19	4.14-7.17	4.79-7.49
25-Sep-20	2.35-5.19	4.17-7.73	4.50-8.37

Source: Reserve Bank of Zimbabwe, 2020



SECTION D:

PERFORMANCE OF FUNERAL ASSURANCE COMPANIES

5. Performance in terms of Business Written

5.1. Inflation-adjusted GPW decreased by 15.02% from ZWL$21.13 million for the nine months-ended 30 September 2019 to ZWL$17.96 million as at 30 September 2020.

5.2. The marginal decrease in the GPW was partly attributable to the inability of premium income to keep up with exchange rate-induced inflation, which characterized the economy for much of the first and second quarter of the year.

5.3. The Commission continues to underscore the need for funeral assurers to re-align their business models so as to adapt to the realities unfolding in the business environment. This should be the industry's top priority if players are to reverse the current decline in real GPW.

5.4. A detailed breakdown of GPW per funeral assurer in terms of recurring and new business is shown in Appendix 4. A summary of the GPW per company is shown in Table 3 below.

Table 3: Gross Premium Written Per Company (ZWL$ 000)

	Name of Company	Sept-20 Inflation Adjusted	Sep-20	Sep-19	Change - Inflation Adjusted	Change (%)
1.	First Funeral	3121.99	23,708.43	4,606.36	-32.22%	414.69%
2.	Foundation	804.10	6,106.35	955.93	-15.88%	538.79%
3.	Moonlight	11408.95	86,639.60	12,174.34	-6.29%	611.66%
4.	Orchid	31.33	237.89	40.77	-23.17%	483.46%
5.	Passion	860.24	6,532.64	1,271.69	-32.35%	413.70%
6.	Ruvimbo	540.68	4,105.89	562.53	-3.88%	629.90%
7.	Sunset	60.11	456.46	131.86	-54.42%	246.16%
8.	Vineyard	1134.41	8,614.70	1,391.95	-18.50%	518.90%
	Total	**17,961.81**	**136,401.96**	**21,135.43**	**-15.02%**	**545.37%**

6. Capitalisation

6.1. Three (3) out of the eight (8) funeral assurers reported capital positions that were compliant with the regulatory minimum capital requirement of ZWL$62.50 million as prescribed in Statutory Instrument 59 of 2020.

6.2. However, one of the entities that reported capital levels above the MCR failed to adequately justify its asset figures.

6.3. Going into the future, ZICARP will address these problems by bringing in a capital calculation model that will help to give more accurate capital positions. In the interim, funeral assurers are expected to comply with the prescribed MCR that are currently stipulated.

6.4. Most Funeral assurers have submitted capitalisation roadmaps at the instigation of the Commission. The industry is showing steady progress towards meeting the required minimum capital levels. As at 30 September 2020, the capital positions for funeral assurers ranged from ZWL$3.75 million to ZWL$103.96 million as shown in Table 4 below.

Table 4: Capitalisation Trend Levels

Name of Company	Sept-20 (ZWL$000)	Jun-20 (ZWL$000)	Mar-20 (ZWL$000)	Dec-19 (ZWL$000)	Sep-19 (ZWL$000)
First Funeral	*71,839.40*	51, 157.52	19, 294.66	9, 211.00	9, 057.65
Foundation	*54,176.80*	75, 978.70	58, 132.99	58, 262.00	3, 013.21
Moonlight	*67,506.00*	27, 993.59	275, 392.69	139, 017.00	141, 366.99
Orchid	5,980.13	5, 984.12	9, 649.26	754	704.05
Passion	*3,755.80*	3, 687.27	2, 539.83	1, 118.00	792.39
Ruvimbo	*62,141.92*	38, 688.05	14 ,042.57	3, 451.00	3, 383.21
Sunset	*103,965.22*	*Did not Submit*	96, 052.76	10, 006.00	9, 564.29
Vineyard	*53,171.59*	57, 716.10	30, 065.73	15, 454.00	2, 538.40
Total	**422,536.86**	**261, 655.34**	**505, 170.49**	**237, 273.00**	**170, 420.20**

Key

(red)	Undercapitalised
(green)	Capitalised

7. Asset Quality

7.1. Funeral assurers' total assets increased by 27.10% from ZWL$605.62 million as at 30 June 2020 to ZWL$769.75 million as at 30 September 2020.

7.2. The positive movement in assets was mainly attributable to an increase in accounts receivables, which were largely in the form of pre-payments for funeral services provisions with their associate or subsidiary companies both in the country and outside the country.

7.3. In addition, local inter-company investments also contributed to the overall net positive movement in the asset base.

7.4. The property portfolio continues to be the largest component of assets held by funeral assurers, with a share of 85.53% of the asset portfolio. The Commission urges players to ensure that their property investments are not encumbered so that they are admissible in assessing the capital levels.

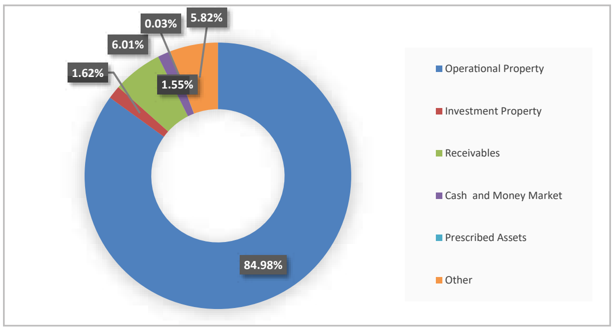
7.5. Asset classes such as equities, cash, and money market investments were held in very small proportions relative to the overall asset portfolio. This observation is expected and is prudent, given that funeral business is long term in nature, a situation that requires holding more long-term investments
.

7.6. There is however, need to manage inter-company receivables, and prevent them from constituting a significant portion of the balance sheet. This emanates from the fact that the risk exposure associated with such transactions could result in policyholders being prejudiced, should the subsidiary companies fail to honour the obligations.

7.7. Furthermore, having such transactions result in funds being tied up in non-interest earning investments, a situation that is detrimental to the need to build a strong policyholders' fund, especially under the current volatile economic environment.

7.8. Prescribed asset investments continue to be insignificant as they accounted for only 0.03% of the total asset portfolio. The distribution of assets for the funeral assurance sector is as shown in Figure 2 below.

Figure 2: Breakdown of Assets



7.9. As at 30 September 2020, all funeral assurers were not compliant with the minimum prescribed asset ratio of 10.00% as stipulated by Statutory Instrument 206 of 2019.

7.10. Despite the Commission directing all funeral assurers to submit compliance roadmaps, no funeral assurer has adhered to the roadmaps submitted. This is a worrying trend and shows a lack of commitment towards compliance.

7.11. In nominal terms, investments in prescribed assets increased by 39.67% from ZWL$150, 940 as at 30 June 2020 to ZWL$210, 820 as at 30 September 2020.

7.12. The Commission continues to lobby the Government of Zimbabwe to allow for development and introduction of prescribed asset instruments that preserve policyholder value.

7.13. The enactment of Statutory Instrument 280 of 2020 (a post reporting event), is one such initiative that should be considered in value preservation and ensuring that policyholder premiums and benefits are not eroded in the foreseeable future.

7.14. Table 5 below shows the compliance levels with prescribed assets for each funeral assurer.

PRESCRIBED ASSETS FOR THE FUNERAL ASSURANCE INDUSTRY AS AT 30 SEPT 2020 (ZWL$000)					
Company	Prescribed asset Investments	Total assets	PA ratio	Amount required to be compliant	Variance in compliance
Orchid	-	12,920.32	0.00%	1,292.03	10.00%
First Funeral	-	79,508.03	0.00%	7,950.80	10.00%
Foundation	63.43	81,556.45	0.08%	8,155.65	9.92%
Moonlight	9.53	341,068.88	0.00%	34,106.89	10.00%
Passion	37.63	7,279.07	0.52%	727.91	9.48%
Ruvimbo	62.29	62,374.56	0.10%	6,237.46	9.90%
Sunset	-	106,443.69	0.00%	10,644.37	10.00%
Vineyard	37.94	78,598.21	0.05%	7,859.82	9.95%
Total	**210.82**	**769,749.22**	**0.03%**	**76,974.92**	**9.97%**

Table 6 below shows the key financial highlights for the funeral assurance sector as at 30 September 2020.

Table 6: Key Performance Indicators

Key Financial Indicators	Funeral Assurers				
	Sep-20 Inflation Adjusted	Sep-20	Sep-19	Change - Inflation Adjusted	Change
Funeral assurers GPW (ZWL$ 000)	17,961.81	136,401.96	21,135.43	-15.02%	
Net Written Premium (ZWL$ 000)	17,961.81	136,401.96	21,135.43	-15.02%	545.37%
Total Gross Claims (ZWL$ 000)	4,827.68	36,661.42	6,073.19	-20.51%	503.66%
Operating Expenses including Administration and Management (ZWL$ 000)	10,706.65	81,306.31	13,064.96	-18.05%	522.32%
Commissions (ZWL$ 000)	1,136.60	8,631.32	1,649.71	-31.10%	423.20%
Total Costs (ZWL$ 000)	16,670.93	126,599.05	20,787.86	-19.80%	509.00%
Profit Before Interest and Tax (ZWL$ 000)	**1,740.18**	**13,214.94**	**1,325.60**	**31.27%**	**896.90%**
Ratio Analysis		**Sept-2020**	**Sept-2019**		**Change -**
Expense Ratio		65.94%	69.62%		-368 bp
Claims Ratio		26.88%	28.73%		-185 bp
Combined Ratio		92.81%	98.36%		-555bp
Industry Overview	**Sept-2020**	**Sept-2019**	**Change**		
Total Number of Policies (000)	136.45	165	-17.17%		
Total Sum Assured (ZWL$ 000)	19,576,510	164,671	11,788%		
	Sept-20	**Jun-20**	**Change**		
Total Assets (ZWL$ 000)	769,749.22	605,620.04	27.10%		
Total Liabilities (ZWL$ 000)	347,212.36	343,964.70	0.94%		
Capital - Net Assets (ZWL$ 000)	422,536.86	261,655.34	61.49%		
Prescribed Assets (ZWL$ 000)	210.82	150.94	39.67%		
Prescribed Asset Ratio	0.03%	0.02%	1 bp		

8. Reassurance

8.1. None of the funeral assurers had any reassurance arrangement(s) in place for the nine months ended-30 September 2020.

8.2. The Commission continues to encourage funeral assurers to consider having reassurance arrangements as a mechanism to support their balance sheets. This will enable them to write more business.

9. Actuarial Matters

9.1. Total technical liabilities for the funeral assurance sector decreased by 3.46% from ZWL$225.07 million as at 30 June 2020 to ZWL$217.28 million as at 30 September 2020.

9.2. Future policyholder benefits continue to be the major component of technical liabilities accounting for 99.78%, whilst unearned premium reserve, gross outstanding claims and incurred but not reported claims accounted for an insignificant 0.22%.

9.3. During the period under review, it was observed that funeral assurers understated their actuarial liabilities. This was derived from the fact that certain funeral assurers reported future policyholder benefits in their retained earnings, resulting in future policyholder benefits being reported under equity subsection yet they should be reported under the liability subsection.

9.4. This then gives the impression that funds under management belong to the shareholder, when in actual fact, they are liabilities that are to be met in future. This inherent risk is that it could lead to incorrect decisions being made owing to this misalignment.

9.5. Actuarial liabilities could also be understated given the asset-liability matching concept, where the rate of increase in assets does not match the rate of increase in liabilities. This may have resulted in premature transfer of value from policyholders to shareholders.

9.6. Funeral assurers are required to ensure that their liabilities are valued in line with the Guideline issued by the Commission to ensure that they hold adequate technical reserves all the time.

10. Earnings

10.1. For the nine months-ended 30 September 2020, six (6) funeral assurers reported profit before interest and tax, whilst two (2) funeral assurers reported losses.

10.2. Profit before tax for the funeral assurance sector increased by 31.27% in real terms from ZWL$1.32 million for the nine months-ended 30 September 2019 to ZWL$1.74 million for the nine months-ended 30 September 2020.

10.3. The increase was partly attributable to the decrease in claims incurred and operating and administration expenses.

10.4. The industry average expense ratio for the nine months-ended 30 September 2020 was 65.94%, while the average claims ratio and the combined ratio stood at 26.88% and 92.81% respectively.

10.5. The average expense ratio for the industry is highly unsustainable, as such funeral assurers are continuously reminded of the need to streamline their expenses to levels that are sustainable and manageable going into the future.

10.6. A summary of the claims incurred, operating expenses and total costs for each funeral assurer for the nine months-ended 30 September 2020, is shown in Appendix A5.

11. Liquidity

11.1. As at 30 September 2020, the funeral assurance sector reported an average current ratio of 179%, which in principle, is an indication that on average, the sector held more than enough current assets to meet current liabilities.

11.2. However, the composition of current assets is heavily concentrated in trade receivables constituting 63.71% of total current assets.

11.3. This may not support the ability to meet current liabilities for the sector given that some of the trade receivables may not be collected and also this asset class does not earn any return. Therefore, there is the opportunity cost being foregone by the funeral assurers as they are earning zero return on these funds.

11.4. Funeral assurers are therefore, encouraged to align their current asset holdings by adopting credit policies that limit exposure on trade receivables.

11.5. The Commission continues to emphasise the need for funeral assurers to invest in appropriate short–term assets that are liquid, which allows them to meet their statutory and operational short-term obligations.

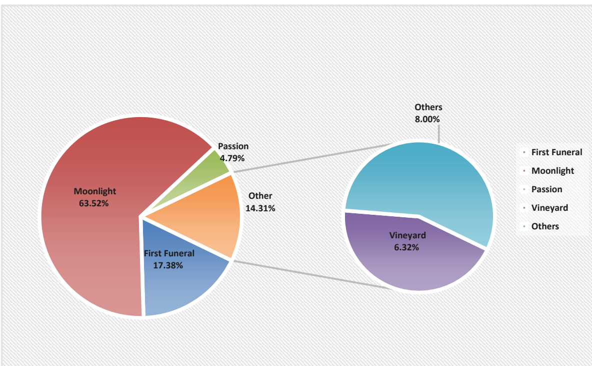
12. Market Share

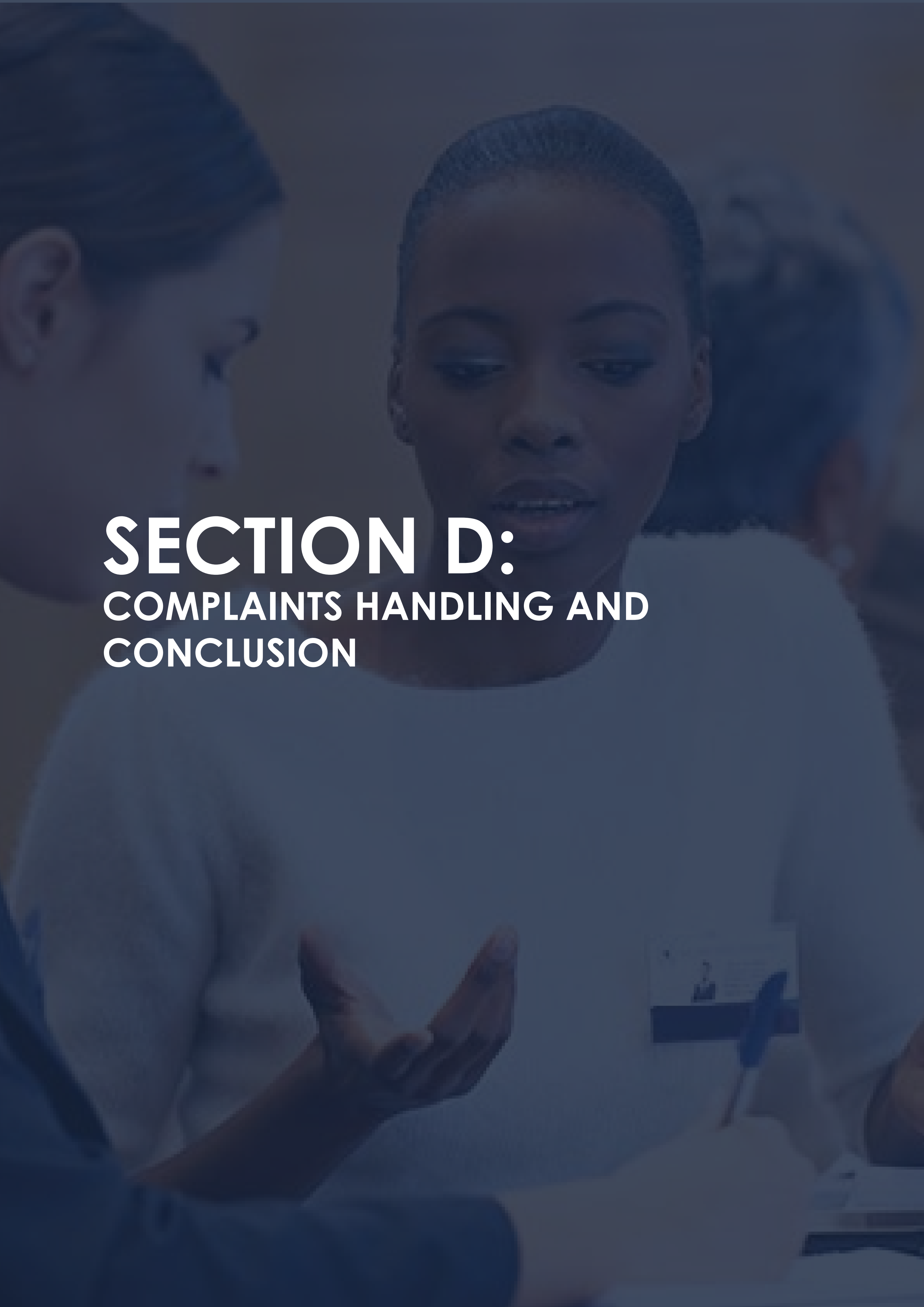
12.1. For the nine months-ended 30 September 2020, the funeral assurance sector GPW was dominated by two (2) funeral assurers who had a combined market share of 80.90%. The remaining six (6) funeral assurers controlled 19.1% of GPW.

12.2. Funeral assurers are challenged to address the industry shortcomings so that they avoid being crowded out by life assurers.

12.3. Distribution of the market share in-terms of GPW for the eight (8) funeral assurers is shown in Figure 3 below.

Figure 3: Market Share in-terms of GPW





SECTION D:
COMPLAINTS HANDLING AND CONCLUSION

13. Funeral Assurance Sector Complaints

13.1. During the quarter under review, the Commission received two (2) complaints, both of which were resolved.

13.2. The complaints related to delay in the settlement of a claim while the other had to do with payment of outstanding premiums on a paid-up policy.

14. In Conclusion

14.1. The funeral assurance sector needs to come up with products that speak to the changing consumer tastes for the sector to remain relevant and ward-off dominance by the life assurance companies who are also writing funeral assurance business.

14.2. As highlighted in the last quarterly report, the Commission is concerned with funeral assurers' lack of compliance with key regulatory issues, which include minimum capital requirements, prescribed asset ratio and high premium debtors to mention just a few. There is need for funeral assurers to quickly address these issues of regulatory concern.

SECTION E

7. Appendix

APPENDIX A1: KEY PERFOMANCE INDICATORS FOR FUNERAL ASSURANCE COMPANIES AS AT 30 SEPTEMBER 2020									
	Orchid	First Funeral	Foundation	Moonlight	Passion	Ruvimbo	Sunset	Vineyard	Total/ Average
Key Performance Indicator									
Capital Adequacy									
Capital Position i.e Net Assets ($ 000)	5,980	71,839	54,177	67,506	3,756	62,142	103,965	53,172	422,537
Capital Coverage Ratio (CCR)	15.95%	191.57%	144.47%	180.02%	10.02%	165.71%	277.24%	141.79%	140.85%
Equity/Total Assets Ratio	46.28%	90.35%	66.43%	19.79%	51.60%	99.63%	97.67%	67.65%	54.89%
Solvency Margin	88.25%	1073.24%	209.78%	38.93%	234.54%	0%	16535.22%	2266.67%	194.46%
Asset Quality									
Total Assets ($ 000)	12,920	79,508	81,556	341,069	7,279	62,375	106,444	78,598	769,749
Investments to Total Assets	23.34%	5.44%	7.03%	0.00%	14.34%	0.00%	0.00%	2.52%	2.09%
Non-Interest Generating Assets/Total Assets	75.16%	92.90%	92.24%	98.80%	80.79%	52.53%	99.58%	93.69%	92.77%
Fixed Assets/Total Assets	74.77%	86.68%	89.73%	87.68%	0.00%	49.29%	96.10%	88.83%	84.92%
Prescribed Assets Ratio	0.00%	0.00%	0.08%	0.00%	0.52%	0.10%	0.00%	0.05%	0.03%
Premium Debtors/Gross Premium	1.19%	17.11%	5.76%	42.06%	10.75%	33.16%	0.00%	38.60%	33.90%
Premium Debtors/Total Assets	0.02%	5.10%	0.43%	10.68%	9.64%	2.18%	0.00%	4.23%	6.01%
Reinsurance									
Risk Retention Ratio	100.00%	100.00%	100.00%	100.00%	100.00%	100.00%	100.00%	100.00%	100.00%
Actuarial									
UPR	67	0	0	0	0	0	0	0	67
Gross Outstanding Claims	0	0	0	321	0	0	0	0	321
Future Policyholder Benefits	6709.956	6693.662	25825.05062	173096.9	1601.365	0	628.75	2264.753	216820.4366
Total Assets/Total Reserves	190.66%	1187.81%	315.80%	196.68%	454.55%	0	16929.41%	3350.60%	354.25%
Earnings									
Profit After Tax (000)	148.87	954.73	180.35	6,056.96	2,541.02	1,232.62	(287.88)	2,223.26	13,049.94
Return on Equity	2.49%	1.33%	0.33%	8.97%	67.66%	1.98%	-0.28%	4.18%	3.09%
Return on Assets	1.15%	1.20%	0.22%	1.78%	34.91%	1.98%	-0.27%	2.83%	1.70%

APPENDIX A2: STATEMENT OF COMPREHENSIVE INCOME FOR FUNERAL ASSURERS FOR THE NINE MONTHS ENDED 30 SEPT 2020 (000)									
	Orchid	**First Funeral**	**Foundation**	**Moonlight**	**Passion**	**Ruvimbo**	**Sunset**	**Vineyard**	Total
Gross Written Premiums	237.89	23,708.43	6,106.35	86,639.60	6,532.64	4,105.89	456.46	8,614.70	136,401.96
Reinsurance Premiums									-
Net Written Premiums	**237.89**	**23,708.43**	**6,106.35**	**86,639.60**	**6,532.64**	**4,105.89**	**456.46**	**8,614.70**	**136,401.96**
Increase/(Decrease) in UPR						373.26		284.27	657.54
Net Earned Premiums	**237.89**	**23,708.43**	**6,106.35**	**86,639.60**	**6,532.64**	**3,732.63**	**456.46**	**8,330.43**	**135,744.42**
Provision for Future Claims		1,779.46			1,306.53				3,085.99
Outstanding claims				320.59					320.59
Paid Claims	16.13	7,161.89	640.27	19,738.67	1,633.16	507.81	33.86	3,523.06	33,254.85
Net Claims	**16.13**	**8,941.35**	**640.27**	**20,059.26**	**2,939.69**	**507.81**	**33.86**	**3,523.06**	36,661.42
Net Commissions and Fees		5,617.11	336.97	2,025.32	8.41		8.09	635.42	8,631.32
Technical Result	**221.76**	**9,149.97**	**5,129.11**	**64,555.02**	**3,584.54**	**3,224.82**	**414.51**	**4,171.94**	**90,451.68**
Operating/Administration Expenses	54.20	8,259.05		55,816.54		1,992.21	1,060.56	305.25	67,487.81
Underwriting Profit/(Loss)	**167.56**	**890.92**	**5,129.11**	**8,738.48**	**3,584.54**	**1,232.62**	**(646.05)**	**3,866.69**	**22,963.88**
Management expenses			5,706.84	6,128.64	1,981.65		1.39		13,818.51
Investment Income			3.12	0.58					3.70
Unrealised Gains/Losses									-
Other expenses	525.50		26.01					3,789.68	4,341.19
Other Income	506.81	90.00	783.78	3,580.48	938.12		361.59	2,146.28	8,407.06
Profit Before Interest and Tax	**148.87**	**980.92**	**183.16**	**6,190.90**	**2,541.02**	**1,232.62**	**(285.85)**	**2,223.30**	**13,214.94**
Taxation			2.81				1.99		4.80
Interest Payments		26.19		133.94			0.04	0.04	
Profit After Tax and Interest	**148.87**	**954.73**	**180.35**	**6,056.96**	**2,541.02**	**1,232.62**	**(287.88)**	**2,223.26**	**13,049.94**
Transfer to policyholders funds			206.53						**206.53**
Dividends									-
Retained Income	**148.87**	**954.73**	**(26.18)**	**6,056.96**	**2,541.02**	**1,232.62**	**(287.88)**	**2,223.26**	**12,843.41**

APPENDIX A3: STATEMENT OF FINANCIAL POSITION FOR FUNERAL ASSURERS AS AT 30 SEPT 2020 (000)

	Orchid	First Funeral	Foundation	Moonlight	Passion	Ruvimbo	Sunset	Vineyard	Total
ASSETS									
Non-Current Assets									
Property and Equipment	9,660	68,916	73,177	299,050		30,747	102,292	69,816	653,657
Investment Property		4,279	5,670	10	640			1,840	12,438
Investments in Securities	16	34	63		404			121	637
Intercompany Investments									-
Other Non-Current Assets			86		28	29,522		805	30,441
Total Non-Current Assets	**9,676**	**73,229**	**78,996**	**299,059**	**1,072**	**60,268**	**102,292**	**72,581**	**697,174**
Technical Assets									**-**
Reinsurers' Share of O/S Claims									-
Deferred Acquisition Cost (DAC)									-
Total Technical Assets	-	-	-	-	-	-	-	-	-
Current Assets									
Cash & cash equivalents	193.92	1,322	512	4,071	289	25	441	2,143	8,996
Short Term Investments	2,999.73	13					2	17	3,032
Prescribed Assets					38	62		38	138
Inventory and Other Assets	48.00	887	1,696	1,501	5,178	657	3,709	494	14,171
Accounts Receivables	2.84	4,057	352	36,438	702	1,361		3,325	46,238
Total Liquid Assets	**3,194**	**1,336**	**512**	**4,071**	**289**	**25**	**443**	**2,160**	**12,028**
Total Assets	**12,920**	**79,508**	**81,556**	**341,069**	**7,279**	**62,375**	**106,444**	**78,598**	**769,749**
Liabilities									
Deferred Tax Liabilities									-
Future policyholders benefits	6,710	6,694	25,825	173,097	1,601		629	2,265	216,820
Short term loans				530		43			573
Long term Loans		79							79
Current Tax provisions									-
Gross Outstanding Claims				321					321
IBNR								81	81
UPR	67								67
Creditors				26,943				1,066	28,009
Amount due to related companies	143								143
Other Liabilities	21	896	1,555	72,672	1,922	190	1,850	22,015	101,120
Total Technical Liabilities/Reserves	**6,777**	**6,694**	**25,825**	**173,417**	**1,601**	**-**	**629**	**2,346**	217,289
Current Liabilities	**164**	**896**	**1,555**	**100,145**	**1,922**	**233**	**1,850**	**23,081**	129,844
Total Liabilities	**6,940**	**7,669**	**27,380**	**273,563**	**3,523**	**233**	**2,478**	**25,427**	**347,212**
Shareholders's Equity									
Share Capital	14	411		1,500	1,049	930	352	211	4,467
Share Premium	1,334	1,610						978	3,922
Revaluation & Other Reserves	5,571	64,695	54,203	225,474	430	59,513	102,321	36	512,243
Retained Profit	(938)	5,123	(26)	(159,468)	2,277	1,698	1,292	51,947	(98,095)
Shareholders's Equity	**5,980**	**71,839**	**54,177**	**67,506**	**3,756**	**62,142**	**103,965**	**53,172**	422,537
TOTAL EQUITY & LIABILITIES	**12,920**	**79,508**	**81,556**	**341,069**	**7,279**	**62,375**	**106,444**	**78,598**	**769,749**

APPENDIX A4: GROSS WRITTEN PREMIUMS BREAKDOWN AS AT 30 SEPT 2020

Name of Company	Individual Life (000)						Corporate Business (000)						Total Gross Premiums (000)				
	New Business			Recurring Premiums			New Business			Recurring Premiums							
	Sep-19	Sep-20	Change (%)	Sep-19	Sep-20	Change (%)	Sep-19	Sep-20	Change (%)	Sep-19	Sep-20	Change (%)	Sep-19	Sep-20	Change (%)	Sept-20 Inflation Adjusted	Change - Inflation Adjusted
First Funeral	8	15	95%	4,599	8,871	93%	-	14,822	100%	-	-	0%	4,606.36	23,708.43	414.69%	3121.99	-32.22%
Foundation	19	98	420%	937	6,008	541%	-	-	0%	-	-	0%	955.93	6,106.35	538.79%	804.10	-15.88%
Moonlight	228	3,488	1432%	11,947	83,151	596%	-	-	0%	-	-	0%	12,174.34	86,639.60	611.66%	11408.95	-6.29%
Orchid	-	7	0%	5	37	628%	-	-	0%	36	194	439%	40.77	237.89	483.46%	31.33	-23.17%
Passion	4	-	-100%	225	1,808	705%	5	-	-100%	1,038	4,724	355%	1,271.69	6,532.64	413.70%	860.24	-32.35%
Ruvimbo	169	1,232	630%	394	2,874	630%	-	-	0%	-	-	0%	562.53	4,105.89	629.90%	540.68	-3.88%
Sunset	124	50	-59%	8	406	5018%	-	-	0%	-	-	0%	131.86	456.46	246.16%	60.11	-54.42%
Vineyard	73	40	-45%	146	609	316%	198	108	-46%	974	7,858	707%	1,391.95	8,614.70	518.90%	1134.41	-18.50%
TOTAL	**623.99**	**4,931.20**	690%	**18,260.16**	**103,765.07**	468%	**202.88**	**14,929.73**	7259%	**2,048.39**	**12,775.95**	524%	**21,135.43**	136,401.96	545.37%	17,961.81	-15.02%

APPENDIX A5: COST AND EARNINGS ANALYSIS FOR THE FUNERAL ASSURANCE INDUSTRY AS AT 30 SEPT 2020																		
Co. Name	**NPW (000)**			**Claims (000)**			**Commissions(000)**			**Management Expenses (000)**			**Total Costs(000)**			**Combined Ratio**		
	Sep-19	Sep-20	Change	Sep-19	Sep-20	Change	Sep-19	Sep-20	Change	Sep-19	Sep-20	Change	Sep-19	Sep-20	Change	Sep-19	Sep-20	Change
First Funeral	4,606	23,708	415%	1,414.89	8,941.35	532%	959.67	5,617.11	485%	2,053.31	8,259	302%	4,427.	22,817	415%	96%	96%	0%
Foundation	956	6,106.35	539%	168.19	640.27	281%	66.64	336.97	406%	785.83	5,706	626%	1,020	6,684	555%	107%	109%	3%
Moonlight	12,174	86,639.60	612%	3,612.15	20,059.26	455%	423.13	2,025.32	379%	8,372.34	61,945	640%	12,407	84,029	577%	102%	97%	-5%
Orchid	41	237.89	483%	16.00	16.13	1%	-	-	0%	33.63	54.20	61%	49.63	70.34	42%	122%	30%	-92%
Passion	1,272	6,532.64	414%	283.05	2,939.69	939%	79.59	8.41	-89%	607.83	1,981	226%	970.47	4,929	408%	76%	75%	-1%
Ruvimbo	563	4,105.89	630%	74.41	507.81	582%	-	-	0%	368.13	1,992	441%	442.54	2,500	465%	79%	61%	-18%
Sunset	132	456.46	246%	13.56	33.86	150%	2.44	8.09	232%	152.46	1,061	597%	168.45	1,103	555%	128%	242%	114%
Vineyard	1,392	8,614.70	519%	490.94	3,523.06	618%	118.24	635.42	437%	691.44	305	-56%	1,300	4,463	243%	93%	52%	-42%
Total	21,135.43	136,401.96	545%	6,073.19	36,661.42	504%	1,649.71	8,631.32	423%	13,064.96	81,306	522%	20,787.86	126,599	509%	98.36%	92.81%	-6%